



Action Plan

- Restore growth to an annual rate of 9 per cent
- Bring back industry confidence with quicker and cheaper credit
- Strengthen inclusive growth elements like education and social justice in the Budget
- Push long-pending financial reforms in banking and insurance
- Make the economic regulatory system more efficient
- Give a boost to infrastructure spending

high fiscal deficits.



PRANAB MUKHERJEE, Finance Minister

on the 9 per cent growth trajectory, the Government needs money to spend. If its resources fall short, it will need to borrow which will further push up the fiscal deficit. As it is, borrowings are up 46.5 per cent and fiscal deficit for 2008-09 for the Centre and states is over 11 per cent. The Government can put disinvestment back on track, but the ministry remains non-committal on such plans to shore up resources. Call it the Mamata factor or the addiction to the figure nine, for the time being the Government seems to have given priority to driving back growth and then addressing issues of fiscal prudence. According to the finance minister, prophets of doom have been unduly focusing on increased public spending and consequent increase in the revenue and fiscal deficits. "An early return to our recent growth performance will help us come back to our preferred path of fiscal prudence," says Mukherjee. That he intends to do by focusing on infrastructure investments. While the pipeline of projects will be reappraised and made more robust where required, policy and procedures would be tweaked appropriately.

Mukherjee is aware that reforms like a goods and services tax and flexible labour laws will be needed to make the economy competitive. He is also keen to bring into force the Prevention of Money Laundering Act to cap the flow of black money to foreign bank accounts. There is no reason to doubt Mukherjee's commitment to the UPA's mandate of reformed growth—as commerce minister, he signed the Marrakesh agreement that created the WTO. That he won hands down in the choice over a politician and technocrat as finance minister is a strong indication of the Government's intent. The battle-scarred veteran would now have to use all his skills and political reach to push reforms through allies like the Trinamool Congress which is at best lukewarm to reformist ideas. We will have to wait and see if the Mamata Effect is as serious a hurdle as the Karat Effect.

Nivedita Mukherjee

leaving more spending power with farmers. There is a cost to everything and all this was possible because India grew at 9 per cent and delivered revenue growth of over 25 per cent for the UPA to splurge.

Till recently the UPA distributed the surplus generated by high growth in rural India. Very simply, they dumped money to create purchasing power amongst the poorest of the poor whether through the NREGA or through other programmes such as Bharat Nirman. The slowdown has hit this grand scheme. The government's expenditure has gone up substantially, its income has come down and its finances are in a state of shock. With fiscal deficit at a high of over 10 per cent (for the Centre and states) there is a limit to how much money will be available for what purpose. Interestingly both politics and economics now mandate that growth be made the priority. What's more this verdict leaves the Singh Parivar with no room for excuses. There is no dearth of literature nor any need for debate on what needs to be done. There are many ideas and the moolah mantra is clear: invest in social and physical infrastructure, raise resources through disinvestment and by cutting non-merit subsidies and reform governance to put India back on the high growth trajectory.

It is true that India is a democracy of the poor but for too long governments have perpetuated the culture of dole and subsidies. India needs to be freed of this crippling mindset. Indians at every level across class and geographies just want to be equipped with the tools and offered the opportunity to take a shot at economic freedom. All India needs to do is meet its challenges to create opportunities for growth. On Tuesday, Home Minister P. Chidambaram urged Central paramilitary forces to immediately fill the 1.35 lakh vacancies. It will serve security and deliver economic growth. Indeed, every teacher, doctor and policeman needed are actually opportunities to create jobs and deliver incomes while every megawatt of power generated or km of road built will spur demand. And nobody knows this better than Prime Minister Manmohan Singh and Finance Minister Pranab Mukherjee. Urban and rural India recognised their potential while voting the Congress in with 206 seats. The UPA regime must now recognise that India, poised at the intersection of hope and fear, has chosen hope and awaits deliverance.